

probabilities—is that by relying simply on historic total returns for their figures, they ignore the sources of those returns.

Yes, speculative returns, which are based on changes in the number of dollars investors are willing to pay for each dollar of corporate earnings—the price-earnings (P/E) ratio—tend to revert to the long-term norm of zero. Yes, corporate earnings growth tends to parallel the nominal growth rate of our economy. (No surprises there!) But *no*, the contribution of dividend yields to returns depends, not on historic norms, but on the dividend yield that *actually* exists at the time of the projection of future returns. With the dividend yield at 2.3 percent in July 2008, of what use are historical statistics that reflect a dividend yield that averaged 5 percent—more than twice the present yield? (Answer: None.) Reasonable expectations for future real returns on stocks beginning mid-2008, then, should center around 5 percent, not the historical norm of 7 percent. What could be more elementary than that? But that’s often the trouble with complex calculations: They can’t be trusted to convey simple truths.

Even sophisticated corporate executives and their pension consultants follow the same flawed course. Indeed, one typical corporate annual report expressly stated that “our asset return assumption is derived from a detailed study conducted by our actuaries and our asset management group, and *is based on long-term historical returns*.” Astonishingly, but naturally, this policy leads corporations to raise their future expectations with each increase in past returns, precisely the opposite of what reason correctly suggests.

At the outset of the bull market in the early 1980s, for example, major corporations assumed a future return on pension assets—bonds as well as stocks—of 7 percent. At the market peak as 2000 began, nearly all firms had sharply raised their assumptions, some to 10 percent or even more. Since pension portfolios are balanced between equities and bonds, they had implicitly raised the expected annual return on the *stocks* in the portfolio to as much as 15 percent, even as the bear market that followed would make that assumption seem like a bad joke.